EXECUTIVE SUMMARY

A. Introduction

The Municipality of Solana was founded on August 18, 1952 and named after then Governor Antonio Urbiztondo Marquez dela Solana. It is a first-class municipality covering an area of 277.22 square kilometers with 38 barangays and with about 87,606 inhabitants. The Municipality is surrounded by the following: on the east by the magical Cagayan River, bounded on the north by the Municipality of Amulung, on the south by the Municipality of Enrile, on the southwest by the Province of Kalinga and on the northwest by the Municipalities of Piat and Tuao.

The audit covered the accounts and operations of the Municipal Government of Solana, Cagayan for the year 2023 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

The Audit Team performed post-audit of collections and disbursements and examination of cash and accounts of accountable officers, conducted interviews and walkthroughs, review and analysis of financial statements and related accounting records, reviewed performance of implemented programs and projects and performed any other audit procedures as it may deem necessary.

B. Scope and Audit Objectives

The scope of the audit covers the period ending December 31, 2023.

The objective of the audit is to determine whether the resources of LGU – Solana, Cagayan have been managed, expended or utilized in accordance with existing laws, rules and regulations, and safeguarded against loss or wastage through illegal or improper disposition, with a view to ensuring efficiency, economy and effectiveness in the operations of government. The audit also aims to allow the Audit Team to render an opinion on the fairness of the financial statements of the LGU.

C. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipal Government of Solana, Cagayan for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Accounts	2023	2022	Increase/(Decrease)
Assets	₱1,144,435,970.03	₱1,093,582,645.85	₱50,853,324.18
Liabilities	277,437,683.91	274,833,904.00	2,603,779.91
Government Equity	866,998,286.12	818,748,741.85	48,249,544.27
Income	394,009,863.22	483,228,677.01	(89,218,813.79)
Expense	343,695,824.03	337,236,533.78	6,459,290.25
Appropriation	360,100,524.23	427,564,265.55	(67,463,741.32)
Obligation	343,019,821.99	400,796,243.43	(57,776,421.44)

D. Operational Highlights

The following programs, projects and activities charged under the different sources of the fund of the Municipal Government of Solana, Cagayan were completed in CY 2023:

Project/Program/Activity	Total Cost Incurred
Delivery of grocery commodities for supplemental feeding	₱2,401,310.00
Purchase of medical equipment (1 unit ultrasound machine)	1,995,000.00
Concreting of road	1,410,476.64
Rehabilitation/concreting of road	1,999,627.62
Concreting of road	7,993,478.85
Rehabilitation of slaughterhouse	257,103.66
Purchase of filling materials for stockpile	993,582.00
Concreting of pathway	153,711.83
Rehabilitation/Concreting of road at Barangay Bantay	2,521,026.03
Installation of warning signages	80,895.15
Supply and delivery of various drugs, medicines and vitamins	373,850.00
Supply and delivery of various drugs, medicines and vitamins	972,436.00
Construction of drainage canal	653,425.93
Rehabilitation of road(construction of retaining wall)	617,472.16
Rehabilitation of admin building	285,611.81
Concreting of road	939,708.27
Supply and delivery of tire	179,200.00
Supply and delivery of meals and snacks for implementation of oplan ligtas sa pamayanan 1st responder training and firefighting	192,500.00
Supply and delivery of various medical, dental and laboratory supplies	1,271,500.00
Concreting of Sitio Damortis road	4,993,534.98
Concreting of road (Farm to road, unpaved to paved)	12,189,757.25
Purchase and installation of air-conditioning unit	119,500.00
Installation and purchase of communication equipment (repeater) and handheld radio for LGU and 38 barangays	1,242,800.00
Concreting of roads (farm to market road)	1,637,009.17
Improvement of PTA building	458,594.56

Project/Program/Activity	Total Cost Incurred
Rehabilitation at Lannig-Cadaanan	260,605.69
Purchase and installation of electronic scoreboard and basketball goal	998,877.98
Purchase and installation of 5 panel outdoor display fix video wall	1,298,997.87
Construction of elevated water system	1,989,271.30
Purchase of laptop	69,995.00
Purchase of computer desktop	89,600.00
Purchase of laptop	119,990.00
Rehablitation of waiting shed along Solana Public Market	117,205.32
Improvement of perimeter fence	243,962.51
Rehabilitation of road	620,159.39
Rehabilitation of road (with cross drain)	213,090.42
Rehabilitation / Concreting of road	2,552,308.50
Rehabilitation / Concreting of road	1,995,803.02
Purchase of sticker on acrylic and gi sheet	143,500.00
Purchase of industrial water cooled diesel engine 7HP	69,900.00
Improvement of school playground (pavement)	370,417.88
Concreting of road (along Solana South Central School)	879,139.59
Purchase of rescue equipment and materials	456,370.00
Purchase of materials for the installation of water line	193,064.00
Supply and delivery of various drugs, medicines and vitamins	372,800.00
Supply and delivery of various drugs, medicines and vitamins	972,800.00
Improvement of Solana gymnasium	101,000.31
Installation of Street Lightings	892,797.48
Rehabilitation/Concreting of Road	1,860,686.79
Rehabilitation/Concreting of Road	2,372,656.18
Supply and delivery of various medical,dental and laboratory supplies	1,272,830.00
Installation of Nangalisan Public Market Signage	149,088.69
Rehabilitation of Municipal Hall Building (Mayor's Office)	220,927.88
Repair/Rehabilitation of PNP detachment	344,927.98
Rehabilitation of road	990,679.53
Rehabilitation of Perimeter Fence (Slaughterhouse)	669,698.48
Rehabilitation of Solana gymnasium	321,089.61
Installation of water system - Muncipal Nursery	386,402.31
Fabrication of enclosure area (DTI Funded Commercial Stall)	64,028.68
Rehabilitation of Municipal Health Office Building	326,711.04
Supply and delivery of various ICT equipment	179,780.00
Purchase of service vehicle	1,237,500.00
Supply and delivery of various drugs, medicines, and vitamins	372,670.00
Supply and delivery of various drugs, medicines, and vitamins	973,332.00
Supply and delivery of various medical, dental and laboratory supplies	1,272,688.00
Establishment of Manpower Development Center	8,430,031.21

Project/Program/Activity	Total Cost Incurred
Supply and delivery of meals and snacks for 172nd Aggao Na Solana	556,500.00
Supply and delivery of chest freezer	184,060.00
Purchase of chainsaw	119,000.00
Purchase of various rescue equipments (Rescue Operatrions, BLS Training, and Rescuelympics)	298,992.50
Supply and delivery of kitchen utensils (Starter Kits)	262,228.88
Supply and delivery of meals, and snacks (Election Day)	184,915.00
Supply and delivery of various medical, dental and laboratory supplies	972,825.00
Supply and delivery of various drugs, and medicines	972,885.00
Establishment of National Urban and Peri Urban Projects	1,438,888.88
Supply and delivery of various drugs, medicines, and vitamins	299,112.00
Purchase of materials for Christmas decorations	899,035.00
Supply and delivery of grocery commodities for livelihood assistance (starter kits)	909,405.10
Supply and delivery of various medical, dental and laboratory supplies	299,435.00
Purchase of various ICT equipment	341,784.00
Supply and delivery of meals and snacks	141,600.00
Supply and delivery of goods for supplemental feeding program	3,900,148.00
Purchase of various ICT equipment	221,100.00
Rehabilitation of special education room of Lanna Elementary School	99,304.64
Purchase of various office equipments	172,000.89
Purchase of motorcycle	299,435.00
Total	**₱94,973,151.44**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the presentation of the financial statements of the Municipal Government of Solana, Cagayan as of December 31, 2023 due to the misstatements aggregating to P29,906,138.20 on account of errors, omissions and improper accounting treatment of transactions that are considered departures from the IPSAS.

The audit of the financial statements of the Municipality of Solana, Cagayan disclosed misstatements totaling to ₱29,906,138.20, in absolute value, which is material to modify the auditor's opinion based on the overall planning materiality of ₱1,687,856.98, summarized as follows:

Account	Amount
Flood Control System	₱7,313,242.58
Sewer Systems	4,678,000.00
Buildings	137,764.34
School Buildings	2,824,062.18
Land Improvement	₱347,625.28
Other Structures	2,961,826.52
Other Property, Plant and Equipment (PPE)	4,678,000.00
Road Networks	2,709,465.72
Water Supply Systems	4,156,451.58
Other Infrastructure Assets	99,700.00
Total	**₱29,906,138.20**

As a result, the following accounts in the financial statements of the Municipality of Solana, Cagayan were misstated as follows:

Account	Understatement	Overstatement	Observation No.
Flood Control System	₱7,313,242.58		1
Sewer Systems	4,678,000.00		1
Buildings	137,764.34		1
School Buildings	2,824,062.18		1
Land Improvement		₱347,625.28	1
Other Structures		2,961,826.52	1
Other PPE		4,678,000.00	1
Road Networks		2,709,465.72	1
Water Supply Systems		4,156,451.58	1
Other Infrastructure Assets		99,700.00	1
Total	**₱14,953,069.10**	**₱14,953,069.10**	

F. Summary of Significant Observations and Recommendations

1. **Component items of the PPE totaling P14.953 million were misclassified into different accounts in the books of accounts of the Municipality, which is contrary to the Revised Chart of Accounts for Local Government Units (LGUs) prescribed under COA Circular No. 2015-009 dated December 1, 2015; thereby, affecting the fair presentation of the related accounts in the financial statements as of December 31, 2023.**

   We recommended the Management, through the Municipal Accounting Office, to prepare the necessary entries to adjust the misclassified component items of the PPE accounts, in accordance with the Revise Chart of Accounts for LGUs prescribed under COA Circular No. 2015-009 dated December 1, 2015.

2. **The correctness and reliability of the PPE accounts with a net book value of P820.907 million as of December 31, 2023 could not be ascertained due to the non-submission of the Report of Physical Count of PPE (RPCPPE) contrary to Section 26 of Volume I of the Government Accounting Manual for LGUs; thus, affecting the fair presentation of the PPE accounts in the Statement of Financial Position as of the same date.**

   We recommended that the Management:

   a. create an Inventory Committee to conduct physical inventory of all PPEs of the Municipality, and submit the corresponding report therefrom in strict compliance to Section 206 of Volume I of the Government Accounting Manual for LGUs and COA Circular 2020-006 dated January 31, 2020;

   b. direct the Municipal Accountant to prepare the ledger cards for each item of the PPE after the inventory taking;

   c. through the Municipal Accounting Office, undertake continuous reconciliation on the result of the physical count with the property and accounting records and adjust the book of accounts and the property records, as warranted, to reflect the correct balances of the affected PPE accounts in order to fairly present the PPE accounts in the financial statements as of year-end; and

   d. instruct the concerned offices to study the applicability of COA Circular No. 2020-006 dated January 31, 2020 which provides the guidelines and procedures in the conduct of physical count of PPE, recognition of PPE Items found at station and disposition for non-existing/missing PPE items, for the one-time cleansing of PPE account balances of government agencies to facilitate fair presentation of PPE accounts in the financial statements.

3. **Five (5) parcels of land covering an area of at least 13,106.50 square meters and an estimated book value of ₱1.049 million, based on the Schedule of Real Estate Owned and Controlled by the LGU as of December 31, 2023, are still without titles or proofs of ownership by the Municipality; thereby, exposing these properties to the risk that they may be subjected to disputes or claims by other parties.**

   We recommended that the Management undertake actions and available remedies to facilitate the titling of the acquired lots in the name of the Municipality in order to establish its ownership thereof and protect its interest.

4. **The Municipality was able to implement 22 out of 23 PPAs with a budgeted amount of P64.659 million funded under the 20% DF for CY 2023; hence, the objective to attain the desirable socio-economic targets and outcomes of the LGU was substantially achieved.**

We commended the Management for substantially implementing the PPAs under the 20% DF leading to the achievement of desirable socio-economic targets and outcomes of the Municipality.

We nevertheless recommended that the Management continue its effort in ensuring that the PPAs for each budget year funded out of the 20% DF are well planned and procurement-and-implementation-ready to mitigate, if not totally prevent, delays in the implementation of projects to fully achieve the desired socio-economic targets and outcomes of the Municipality pursuant to DBM-DOF-DILG JMC No. 1 dated November 4, 2020.

5. **A portion of the LDRRMF for CY 2023 totaling P11.205 million remained unutilized as of December 31, 2023; hence, the desired goals and objectives of reducing disaster risk and enhancing disaster preparedness and response capabilities of the Municipality were not substantially achieved.**

   We recommended that the Management, through the Local Disaster Risk Reduction Management Officer, closely monitor the implementation of PPAs under the LDRRMF to ensure that issues and problems are detected early and that corrective actions are undertaken, when necessary, to fully achieve the desired goals and objectives in reducing disaster risk and enhancing disaster preparedness and response capabilities of the Municipality pursuant to RA No. 10121.

G. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions:					
Prior Years	P17,378,943.64	0.00	0.00	P17,378,943.64	0.00%
Current Year	0.00	0.00	0.00		0.00%
Total	**P17,378,943.64**	**0.00**	**0.00**	**P17,378,943.64**	**0.00%**
Disallowances:					
Prior Years	P252,248.36	0.00	P27,000.00	P225,248.36	10.70%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	P252,248.36	0.00	P27,000.00	P225,248.36	10.70%
Charges:					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**0.00**	**0.00**	**0.00**	**0.00**	**0.00%**

H. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in the 2022 Annual Audit Report are summarized as follows:

Implemented	19
Not implemented	0
Not implemented and reiterated in CY 2022 AAR	7
Total	**26**